

# Porter's Five Forces

## 3.3.1.4 Impact of external influences · Mr. Akram — Akademy

Porter identified **five forces** that together determine the nature of competition within a market — and so how profitable (attractive) an industry is. A business uses the model to **assess a new market** (e.g. before market development or diversification) or to **monitor an existing market** and devise strategies to compete or protect its position.

### The five forces

- **Threat of new entrants** — existing firms are stronger where **barriers to entry** are high (brand strength, economies of scale, distribution, high start-up cost). Low barriers → high threat, and vice versa.
- **Bargaining power of suppliers** — powerful suppliers raise input prices and squeeze industry profit. Power is high when there are few suppliers, the input is unique/essential, or switching is costly (e.g. De Beers in diamonds).
- **Bargaining power of buyers (customers)** — powerful buyers push prices down or demand more for the same price. The big UK supermarkets have huge power over suppliers because they buy in vast volume and can switch supplier easily.
- **Threat of substitutes** — a substitute meets the **same need** a different way (a bus vs a train). Many credible substitutes cap the price a firm can charge and reduce profit.
- **Competitive rivalry** — the central force; intense rivalry forces firms into costly strategies (price cuts, heavy marketing) that lower profits.

### Reading the model

**Strong forces squeeze profit; weak forces make an industry attractive.** In a very niche or highly differentiated market, some forces (e.g. competitive rivalry and the threat of new entrants) matter far less than others.

### Apply it

- What are potential barriers to entry in the soft drinks market?
- What factors determine whether a supplier is powerful? (e.g. De Beers)
- Why do the leading UK supermarket chains have so much power over many of their suppliers?
- What are the main benefits and drawbacks of Porter's Five Forces theory?